

PRICE, EARNINGS, AND REVENUE MOMENTUM

In their 2013 paper, “Does Revenue Momentum Drive or Ride Earnings or Price Momentum?” Chen et al. (2014) examined the profitability of strategies based on price, earnings, and revenue momentum, both alone and in combination with one another. Looking at U.S. stocks from 1974 through 2007, the authors measured price momentum based on past stock returns, as is usually done. They also measured earnings and revenue momentum, which they based on historical earnings and revenue. Using long/short hedged portfolios, the authors found that price momentum gave the largest average profit, followed by earnings, then revenue momentum. None of the three momentum strategies was dominant, which means that each carried some exclusive information content. The authors sorted all three factors into quintiles and matched up the top quintiles of each factor to create a double sort. Hedged portfolios from double sorts on two of the three factors, on average, outperformed single-sort portfolios. The one portfolio formed from a triple sort of all three factors outperformed all the double-sort portfolios. Revenue and earnings momentum combined accounted for only 19% of the price momentum effects, so price momentum was the most important factor. Overall evidence suggests that a strategy combining past return, earnings, and revenue momentum outperforms strategies based on only one or two of these factors. Since this approach incorporates earnings and revenue information, it would apply only to stocks and not to other asset classes.

ACCELERATING MOMENTUM

In their 2013 paper, “Investor Attention, Visual Price Pattern, and Momentum Investing,” Chen and Yu investigated visual patterns of past stock prices that indicate momentum acceleration, garner investor attention, induce overreaction, and amplify the momentum effect.

For U.S. stocks from 1962 through 2011, the authors performed a linear regression of daily returns against the square of time in order to determine the price trajectory curvature. A positive coefficient indicated convex price